

USDA Foreign Agricultural Service

# GAIN Report

Global Agricultural Information Network

THIS REPORT CONTAINS ASSESSMENTS OF COMMODITY AND TRADE ISSUES MADE BY  
USDA STAFF AND NOT NECESSARILY STATEMENTS OF OFFICIAL U.S. GOVERNMENT  
POLICY

Voluntary    Public

**Date:** 7/26/2012

**GAIN Report Number:** TW12022

## Taiwan

**Post:** Taipei

### Market Share for U.S. Soybeans to Decline

**Report Categories:**

Oilseeds and Products

**Approved By:**

Jeffrey Hesse

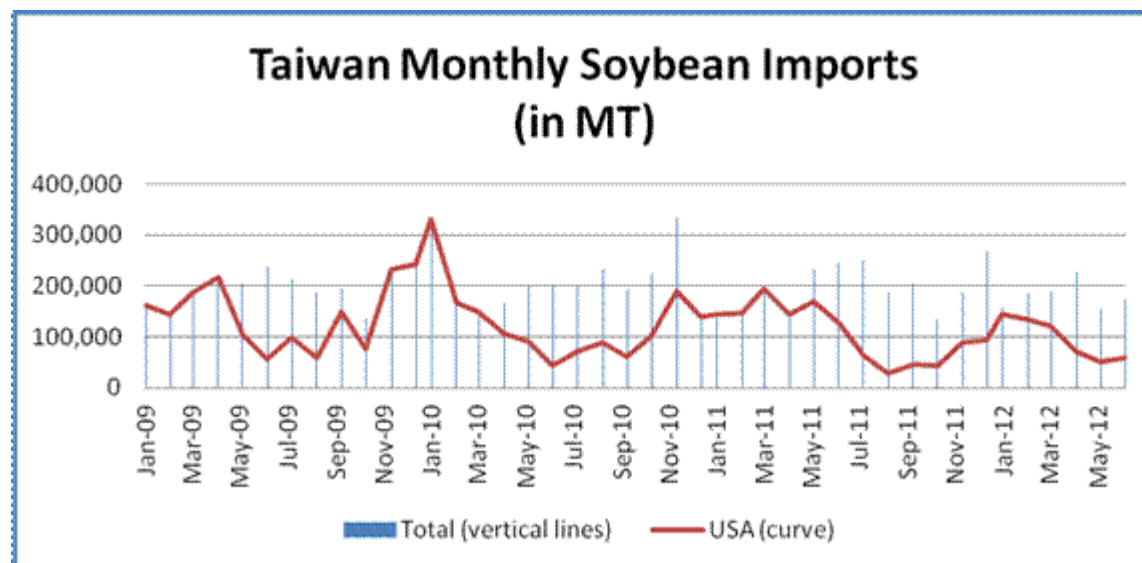
**Prepared By:**

Chiou Mey Perng

**Report Highlights:**

Post's projections for Taiwan's total soybean imports in MY2011/12 and MY2012/13 remain unchanged at 2.2 MMT and 2.4 MMT, respectively. However, given the current price spread, availability and quality preferences for other origin soybeans, Post is lowering the MY2011/12 U.S. soybean import estimate by 200 TMT to 1.0 MMT.

## General Information:



According to Taiwan import statistics for the first nine months of MY2011/12, Brazilian and U.S.-origin soybeans held an equal market share of about 48 percent each. This stands in stark contrast to the 75 percent market share for U.S. soybeans during the same period in MY2010/11. Taiwan crushers have shown a preference for the 2012 South American soybean crop as local industry contacts report overall higher oil and protein content compared with U.S. beans. In fact, local crushers have sourced bulk shipments of soybeans from Brazil only for July, August and September 2012 delivery, leaving the balance of local demand to be met by U.S. soybean imports via containerized shipments. As a result, Post is lowering the import estimate for U.S. soybeans by 200 TMT to 1.0 MMT. This would mean that U.S. market share will fall to a record low 44 percent for MY2011/12.

### Taiwan: Soybean Imports for October - June in MY2009/10 thru MY2011/12 (MMT)

| Country  | MY2009/10 | MY2010/11 | MY2011/12 |
|----------|-----------|-----------|-----------|
| Total    | 1.84      | 1.82      | 1.67      |
| U.S.     | 1.44      | 1.35      | 0.80      |
| Brazil   | 0.39      | 0.43      | 0.80      |
| Paraguay | nil       | nil       | 0.05      |
| Others   | 0.01      | 0.04      | 0.02      |

Taiwan crushers have expressed concerns about the current drought in the soybean growing regions of

the United States. In response, they have already placed advanced orders for South American 2013 crop soybeans for delivery in the summer of 2013. However, Post is leaving unchanged the forecast for Taiwan's imports of U.S. soybeans in MY2012/13 as the price advantage for South American beans is expected to narrow. Taiwan crushers have already been paying an approximate 30 cent per bushel premium for recent South American bean purchases. Reportedly, local crushers will wait to see how the new U.S. soybean crop turns out before making further purchases.

**Taiwan: PSD Table for Soybeans (updated July 26, 2012)**

| Oilseed, Soybean<br>Taiwan | 2010/2011                      |             | 2011/2012                      |             | 2012/2013                      |             |
|----------------------------|--------------------------------|-------------|--------------------------------|-------------|--------------------------------|-------------|
|                            | Market Year Begin: Oct<br>2010 |             | Market Year Begin: Oct<br>2011 |             | Market Year Begin: Oct<br>2012 |             |
|                            | USDA Official                  | New<br>Post | USDA<br>Official               | New<br>Post | USDA<br>Official               | New<br>Post |
| Area Planted               | 0                              | 0           | 0                              | 0           | 0                              | 0           |
| Area Harvested             | 0                              | 0           | 0                              | 0           | 0                              | 0           |
| Beginning Stocks           | 124                            | 124         | 148                            | 148         | 108                            | 108         |
| Production                 | 0                              | 0           | 0                              | 0           | 0                              | 0           |
| MY Imports                 | 2,454                          | 2,454       | 2,250                          | 2,250       | 2,350                          | 2,400       |
| MY Imp. from U.S.          | 1,490                          | 1,490       | 1,200                          | 1,000       | 1,250                          | 1,250       |
| MY Imp. from EU            | 0                              | 0           | 0                              | 0           | 0                              | 0           |
| Total Supply               | 2,578                          | 2,578       | 2,398                          | 2,398       | 2,458                          | 2,508       |
| MY Exports                 | 0                              | 0           | 0                              | 0           | 0                              | 0           |
| MY Exp. to EU              | 0                              | 0           | 0                              | 0           | 0                              | 0           |
| Crush                      | 2,150                          | 2,150       | 2,010                          | 2,010       | 2,110                          | 2,120       |
| Food Use Dom. Cons.        | 280                            | 280         | 280                            | 280         | 280                            | 280         |
| Feed Waste Dom. Cons.      | 0                              | 0           | 0                              | 0           | 0                              | 0           |
| Total Dom. Cons.           | 2,430                          | 2,430       | 2,290                          | 2,290       | 2,390                          | 2,400       |
| Ending Stocks              | 148                            | 148         | 108                            | 108         | 68                             | 108         |
| Total Distribution         | 2,578                          | 2,578       | 2,398                          | 2,398       | 2,458                          | 2,508       |
| CY Imports                 | 2,346                          | 2,346       | 2,400                          | 2,350       | 2,350                          | 2,400       |
| CY Imp. from U.S.          | 1,285                          | 1,285       | 1,320                          | 1,000       | 1,250                          | 1,250       |
| CY Exports                 | 0                              | 0           | 0                              | 0           | 0                              | 0           |
| CY Exp. to U.S.            | 0                              | 0           | 0                              | 0           | 0                              | 0           |
| TS=TD                      |                                | 0           |                                | 0           |                                | 0           |
| AGR Number                 | TW12022                        |             |                                |             |                                |             |